

CCB pitch deck

No file-writing tool is available in this session, so the deck below is the deliverable — the conveyor/runner will need to pick it up from this transcript (same gap the blue bench flagged for the dashboard step).

PITCH — CCB — PROPOSED VERDICT: NO ENTRY — stay flat, park on named triggers (PROPOSED — PENDING ADJUDICATION)

What we believe

Coastal Financial (CCB) is a small Washington bank whose main business is running deposit and lending programs for ~30 fintech partners (“banking-as-a-service”). In Q2 2026 one large partner — roughly \$500 million of underlying loans, about a quarter of the whole partner-lending book — went bad. The company took a \$68.8 million hit: \$22.8 million of loan losses it does not expect to recover, plus a \$46.0 million write-down of money partners owe Coastal to cover credit losses (“credit enhancement” receivables, per the [Q2 press release](#)). The stock has fallen from \$120 to \$43.93 — down 63% — and sits 20% above its 52-week low.

We believe the damage is real and still arriving, not finished. After the write-down, partners still owe Coastal \$154.3 million — equal to about a third of the company’s tangible equity. Some partner programs post no cash collateral at all against what they owe (management said so on the earnings call), and in Q2 the amount newly owed (\$70.7 million) grew faster than the amount collected (~\$51 million). We also believe the decisive question — *which specific partners owe what, and what stands behind each balance* — cannot currently be answered: both our benches independently read the new [10-Q](#) and confirmed it discloses only aggregate figures. No per-partner breakdown, no reserve rollforward, not even an aggregate pledged-collateral number.

So the honest position is: we cannot underwrite this receivable, and at 1.46× tangible book value we are not being paid to hold an unanswerable question. Stay out; watch for the specific disclosures that would make it answerable.

What the market believes

The market has already repriced this hard and is not asleep. Two analysts cut on the news — TD Cowen from a \$110 target to \$47 (kept its Buy), Raymond James from Strong Buy/\$100 to Outperform/\$50 — yet both remained positive, and the stock at \$43.93 trades *below* both cut targets. Fraud investigations into the partner situation have been announced publicly. Three insiders — director Hovde (~\$658k across two days), the CEO (\$445k at \$44.45), and the executive chair (a small \$13k purchase) — bought

stock in the open market in early August, about \$1.1 million combined, which the market can read as management signaling the write-down was the kitchen sink.

In short: the market's view is "big known hit, taken; franchise intact; modest upside from here." That is a coherent view, and the price already reflects a lot of pain.

Why we might have edge

- **We read the filing the market may not have.** The 10-Q dropped August 7. Both benches read it in full. What we learned is negative in a subtle way: the filing is *less* informative than expected — no rollforward, no aggregate reserve figure. If the receivable deteriorates, the market will learn it late and all at once.
- **The collateral gap is understated in public commentary.** The earnings call confirmed some programs post no cash collateral. Part of that \$154.3 million is backed by nothing but a fintech partner's promise to pay, and at least one large partner is already in trouble.
- **We built the collections math nobody publishes.** Reconstructing from quarterly balances: Coastal collected roughly \$48–51 million per quarter from partners, but Q2's new accruals surged to \$70.7 million. The gap widened exactly when a major partner weakened. That's a measurable, gradable deterioration signal for Q3.

Why it might be priced in

Symmetry requires saying this plainly: much of our bear case may already be in the price, and parts of our original thesis were wrong.

- A 63% drawdown is not a market that missed the story. The name is covered by at least three sell-side firms; the bad quarter, the partner problem, and the investigations are all public.
- **Our thesis omitted the bull half of its own math.** We presented the receivable's growth without the collection leg. The red bench found ~\$51 million was actually collected/settled in Q2 alone — the collection machinery demonstrably works; this isn't a frozen balance.
- The insider cluster is a real, costly signal on the other side — three separate buyers within days of the 10-Q, at prices right around today's.
- The original escalation premise — that the sizing answer was "one derivable number sitting in an unread 10-Q" — was simply refuted. The table does not exist. That was the thesis's fault, not the market's.

What we checked ourselves

Claim	How checked	Found	Confirmed?
The new 10-Q contains (or lets us derive) per-partner exposure — the	Both benches independently read the full 10-Q (via render	30 partners, aggregate-only; no per-partner reserves, no rollforward table, no aggregate pledged-reserve figure	NO — refuted. Killed the escalation case

Claim	How checked	Found	Confirmed?
thesis's core escalation premise	proxy; SEC blocked direct fetches)		
Partner receivable growing faster than collections	Reconstructed from quarter-end balances + income statement	~\$48–51M/qtr collected; Q2 accruals (\$70.7M) outran collections. Red bench erred: cited a “10-Q rollforward” that doesn’t exist — the \$51M is derived, not sourced	PARTLY — direction confirmed; thesis erred by omitting the collection leg entirely
\$70.7M enhancement expense was quarterly, not six-month	Q2 release income statement	Quarterly (Q1 \$50.7M; six-month \$121.5M)	YES
All partner programs post cash collateral	Earnings-call transcript, verbatim	Some programs are not required to post cash collateral	NO — bear case was understated
Insider buying = one purchase (as thesis framed it)	Form 4 XML filings read directly from EDGAR	Three-buyer cluster ≈ \$1.1M (Hovde 15,000 sh; CEO Sprink 10,000 @ \$44.45; Exec-Chair Adams 290 @ \$45.15). Red bench erred: its “Hovde holds 1.72M shares” is not in the filing — direct holdings shown are 26,500	YES on the cluster; the holding claim is unverified
Thesis misquoted capital ratios (red bench finding)	Q2 release and slides	Thesis correctly quoted company-level 13.30% and labeled it; bank-level is 12.27%. Red bench’s “correction” was itself the error — overturned on blue review	Thesis was right; carry bank-level 12.27% as the binding number
Troubled partner ≈23% of the partner-lending book	Transcript: “approximately \$500 million in underlying loans”	Size confirmed; partner identity non-public	PARTLY — identity/solvency unresolved
Pledged collateral of ~\$72M growing to ~\$100M (thesis figures)	Searched 10-Q, release, and transcript	Not disclosed anywhere primary. Both benches’ earlier coverage-ratio math rested on an unsourced number — our own error, caught by blue bench	NO — unverified
\$68.8M loss decomposition	Raymond James note	\$22.8M unrecoverable provision + \$46.0M receivable write-down	YES
Next earnings date Oct 29	yfinance-derived; no company 8-K names it yet	Unconfirmed; company typically names the date ~1 week prior by 8-K	NO — unconfirmed
Price \$43.93, down 63% from the high	Evidence-pack tape, cross-checked against a public quote source; live broker snapshot unavailable that session (declared as a gap)	Corroborated	YES

PROPOSED ENTRY BANDS

Both benches say no entry at any current price — the receivable can’t be underwritten from public information, so this section states the reopen bands instead, built from the benches’ own math.

The math the bands come from: at \$43.93 the stock trades at $\sim 1.46\times$ tangible book, putting tangible book at $\approx$ **\$30.10/share** (tangible common equity $\approx$ \$458M on ~ 15.45 M diluted shares). The partner receivable is \$154.3M = 33.7% of that equity. If the entire receivable were written to zero, tangible book would fall to $\approx$ **\$19.70/share**.

- **Reopen review below $\approx$ \$30.10** ($1.0\times$ tangible book): the market would then be giving the entire banking franchise away at book while pricing meaningful further receivable loss. Not an automatic buy — a mandatory re-hearing.
- **Mandatory re-hearing below $\approx$ \$19.70**: the price would imply a total loss on the receivable, which contradicts the observed $\sim$ \$50M/quarter of actual collections. That asymmetry alone justifies reconvening even with no new disclosure.
- **Event reopeners (any price)**: (a) any filing or litigation exhibit disclosing per-partner enhancement or reserve balances — this restores the decisive table the courts convened for and didn't find; (b) the troubled partner's identity resolving to a checkable entity; (c) the Q3 10-Q showing collections $\geq \sim$ \$70M excluding one-time adjustments — the pre-registered, gradable test that the collection machinery held while accruals surged. Pass, and the biggest bear leg weakens materially.
- **Sizing**: zero today. Any post-reopen entry starts small (starter-size at most) until the collateral picture is quantified from a primary source.
- **Catalyst dates**: Q3 earnings **$\sim 2026-10-29$** (unconfirmed — watch for the date-naming 8-K roughly a week prior). The insider cluster at \$43.83–\$45.15 is logged as a gradable bull marker, not a mandate.

ARMED SENSORS

(armed provisionally with this deck; session adjudication ratifies)

- price alert: fires below 19.7 (deck-provisional: price implies total loss on the \$154.3M partner receivable, contradicting $\sim$ \$50M/qtr observed collectio)
- filing watch: 8-K,10-Q/A until 2027-02-04 (deck-provisional: per-partner credit-enhancement/reserve disclosure or troubled-partner resolution — the decisive table)
- dated pack CCB|2026-10-29: CCB: Q3 2026 earnings print (yfinance-derived, no company 8-K yet) (date confirmed=False)

What remains unverified

- **The aggregate pledged cash-collateral balance.** No primary source quantifies it; the thesis's $\$72\text{M} \rightarrow \100M figures are unsourced. This is the single most important unknown.
- **Which programs, and how much of the \$154.3M, carry no collateral at all.** Management confirmed the category exists but not its size.
- **The troubled partner's identity and solvency.** $\sim$ \$500M of underlying loans, entity non-public.

- **The Q3 earnings date** (yfinance-derived only).
- **Director Hovde's total beneficial ownership** (red bench's 1.72M-share claim is not in the Form 4).
- **Per-partner exposure generally** — undisclosed by design; only the company or a court exhibit can resolve it.

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Two housekeeping notes for adjudication: (1) no file-write or shell tool was available this session, so the deck exists only in this transcript — the deck_writer/conveyor needs to ingest it from here to auto-arm the sensor fence; (2) the standing closing step (ledger upsert, edge classification, scanner re-run, /api/everything verify) also could not run, same as the blue bench flagged.